



but the continuation of the right set of policies, and a lot of other things.

“The companies looking to file IPOs should have been in the business for at least five to eight years. Companies which started two to three years back should refrain from investing in filing IPOs. Instead, they should be more focussed on building their dominance in what they are doing,” Kirshna opines.

Further, the returns that a company filing or thinking to file an IPO expects should always be kept in mind. The company looking to raise funds via the IPO route should be clear in formulating and conveying what it intends to use the funds for. The checklist also contains owning IPs and product development.

“Whatever kind of investment is a responsibility for the company. If my company does not own an IP or does not have any kind of product development under my belt, then I am just a contract manufacturer. Yes, I do have scales of production, but it will never be seen as long-term by the market or the investors,” says Kawoosa.

He adds, “It’s important to calculate whether the expected returns will be lucrative enough or not. Will these be as lucrative as returns garnered by BFSI, services, or IT companies. You have every breed of investors. The shares may not be high retuning ones but fundamentally these will be the strong ones.”

Trade wars and global disenfranchisement with China has also led to shifts in global manufacturing to alternate locations like India. India with a large and growing domestic electronics market (US\$110 billion) and affordable labour is attracting high-ticket investments.

“The development of a robust electronics component ecosystem in India is expected to increase domestic value addition from present levels of 34% to more than 50% by 2025. We believe all these factors converging together will provide a good wealth creation opportunity for investors,” says Agarwal.

The global scenario in terms of electronics manufacturing is changing. OEMs and ODMs are resorting to automated processes, whereas the Indian companies are still majorly dependent on human labour. For instance, there were reports of Foxconn’s India plant being shut for more than two weeks in the month of December 2021 due to protests by workers.

“There is smart manufacturing, robotics manufacturing, and implementation of IIoT already taking place. A lot of the countries that were not so open for manufacturing will now also think of manufacturing. The decentralisation of manufacturing has begun in China. How are the Indian companies filing for IPO going to address the challenge of automated manufacturing three years down the line?” asks Kawoosa. **EFY**

The author, Mukul Yudhveer Singh, is a technology enthusiast

YOU CAN NOW SET UP AN EFY-CERTIFIED SKILL DEVELOPMENT CENTRE IN YOUR INSTITUTION

In Partnership with EFY



EFY-CERTIFIED
 **Skill DEVELOPMENT CENTRE**

Referred to as ESDC, the Centre will help students improve their hands-on skills, make exciting projects of their own and understand the latest technologies

For more details, please call: Shyam (+91-8800100761)
email: efyenq@efy.in or visit: <https://efymag.com/ESDC>